

Sagility Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: SAGILITY · BSE: 544282 · Report prepared 3 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1 Snapshot

What the business does: Sagility is a **BPM** company — business process management, meaning it runs other companies' back-office work for them under contract. Its only customers are in **US healthcare**. About 90% of its revenue comes from **payors** (a payer is a US health-insurance company — Medicare Advantage plans, Blue Cross "Blues" plans, national insurers) and about 10% from **providers** (hospitals and clinics). The work is processing insurance claims, answering member and doctor phone calls, prior-authorisation approvals, clinical and care-management programmes, and chasing unpaid hospital bills. Most of it is done from India and the Philippines at a fraction of US labour cost. Sagility was carved out of Hinduja Global Solutions in 2021-22 and bought by private-equity firm EQT in a debt-funded buyout; it listed in India in November 2024.

Measure	Value	What it means in plain words
Market cap	₹20,527 cr	What the whole company is worth on the market. Share price ₹43.9, against a 12-month range of ₹35.8–₹57.9 — currently about a quarter below its high.
FY26 revenue (consolidated)	₹7,193 cr (\$814 m)	Sales in the year to March 2026, up 29.1% on FY25's ₹5,570 cr. Stripping out the BroadPath acquisition, growth was 20.1%.
FY26 organic growth, constant currency	15.0%	The cleanest growth number: same business, same exchange rate. The US healthcare BPM industry grows about 7–8%. Sagility grew at roughly double its industry.
FY26 adjusted EBITDA	₹1,820 cr (25.3% margin)	EBITDA = operating profit before interest, tax and depreciation. 25 paise of operating profit per rupee of sales. Held steady for three straight years.
FY26 net profit (reported)	₹925 cr	Profit after everything, up from ₹539 cr in FY25. On management's "adjusted" basis (excluding buyout-related intangible write-offs) it was ₹1,131 cr, up 39.5%.
Trailing-12-month profit	₹993 cr	Last four quarters. Earnings per share ₹2.12, so the stock trades at about 20x reported profit — not 56x, which is what Screener's default page shows because that page is the standalone holding company only.
Net debt (Jun 2026)	₹111 cr	Gross borrowings ₹1,111 cr less ₹967 cr of cash. The buyout debt is nearly gone — 0.06x annual operating profit. Management says it will be fully repaid during FY27.
Return on capital (ROCE)	13.4% reported >50% adjusted	Two very different numbers. The reported figure is dragged down by ₹8,000 cr+ of goodwill created when EQT bought the business. Strip that accounting entry out and the operating business earns over 50% on the capital actually employed. Both are true; the second describes the business, the first describes the purchase price.
Promoter holding	50.95%	EQT's stake has fallen from 82.4% in Dec 2024 to 51% in 18 months through repeated selldowns. A standing supply overhang — mutual funds and foreign investors have absorbed it (domestic institutions went 7.3% → 21.4%).

2 Concall coverage

Quarter / event	Call date	Transcript read?
Q2 FY25	27 Nov 2024	Yes — first call as a listed company
Q3 FY25	5 Feb 2025	Yes

Q4 & FY25	15 May 2025	Yes
Q1 FY26	30 Jul 2025	Yes
Q2 FY26	29 Oct 2025	Yes
Q3 FY26	28 Jan 2026	Yes
Investor & Analyst Day	25 Mar 2026	Yes — 87-page strategy session
Q4 & FY26	12 May 2026	Yes
Q1 FY27	21 Jul 2026	Yes — latest call, read in full ★

How short this history is. Sagility listed in November 2024, so there are only **nine distinct events in about 21 months** — eight quarterly calls and one investor day. That is well under the two-to-three years of history this kind of report normally works from, and it means the consistency scorecard below is built on eight promise-and-outcome cycles, not twenty. Screener listed eleven concall rows but two were duplicate uploads of the same 29 Oct 2025 call; all nine distinct transcripts were downloaded, and the newest one (21 Jul 2026) was checked directly against Screener's concall list to confirm nothing newer exists.

★ Latest concall highlights — Q1 FY27 (call held 21 July 2026)

- **Revenue ₹1,964 cr (\$207.8 m), up 27.6%.** In constant currency — same exchange rate as last year — growth was **15.2%**, and 14.9% excluding the tiny CareSeed acquisition. The gap between 27.6% and 15.2% is almost entirely the rupee falling against the dollar. Sequentially revenue *fell*, because last quarter contained about \$24.8 m of once-a-year US "open enrolment" work; strip that out and the underlying business still grew 5.1% quarter on quarter.
- **Adjusted operating profit (EBITDA) ₹472 cr, a 24.0% margin.** Held at 24% while absorbing the April salary hike *and* a new statutory minimum-wage increase in Karnataka and Telangana. Adjusted profit after tax ₹270 cr, up 35.1% — profit growing faster than sales because interest costs keep falling.
- **The minimum-wage hit is real and was disclosed unprompted.** ₹7 cr in the quarter, an estimated **120 basis points off full-year FY27 margin**, plus a separate one-off ₹15.1 crore past-service charge for gratuity. 65–70% of the workforce sits in Bangalore and Hyderabad and is affected. Management kept its 24–25% margin guidance anyway, saying a weak rupee and internal efficiency will cover it.
- **\$35.3 m of new annual contract value signed** — from 18 existing clients and just **one** new logo. The sixth consecutive quarter of \$30–35 m in wins. Almost all growth comes from selling more to people who already buy: the CEO stated flatly that **no price increases were taken** and that "the movement in prices is in the opposite direction."
- **Balance sheet nearly clean; guidance unchanged.** Net debt down to ₹111 cr, cash ₹967 cr, collections improved (money owed by customers fell from 87 to 80 days of sales). FY27 guidance reiterated: **low-double-digit organic growth in constant currency, 24–25% margin** — with management hinting they should beat the bottom of that range.

Business mix & capacity. Customer type: payers 89.6% of revenue, providers 10.4% in Q1 FY27 (89.7 / 10.3 for FY26) — *plain read: this is overwhelmingly an insurance-company back-office, not a hospital business, and the provider share has drifted down because the BroadPath acquisition was payer-heavy.* **Geography of customers:** effectively 100% United States. There is no India, Europe or rest-of-world revenue line at all — *plain read: a single-country customer base, so US healthcare policy is the only regulatory weather that matters.* **Geography of delivery:** five countries — India (Bangalore, Hyderabad, Tamil Nadu, a new Indore site, Mumbai), the Philippines, and the US. Management says the **US-delivered share of revenue is rising** because new mid-market clients and Medicaid work must stay onshore, and that this dilutes margin — but **the exact onshore/offshore revenue split is not disclosed**, and repeated analyst attempts to get it were answered only qualitatively. *Plain read: a margin headwind management admits to but will not size.* **Client concentration:** top three clients fell below 60% of revenue in FY26; top ten went from 90.5% (FY25) to 84.6% (Dec 2025). Clients billing over \$20 m a year rose from 4 in FY23 to 9 in FY26. Active client groups: 75 (Mar 2025) → 109 (Jun 2026, including 26 added with CareSeed, each under \$1 m). Sagility serves 7 of the 10 largest US insurers. *Plain read: still concentrated, but genuinely and measurably less so every year.* **Headcount:** 39,409 (Mar 2025) → 44,185 (Sep 2025) → 48,522 (Dec 2025, the seasonal peak) → 46,860 (Mar 2026) → **47,307 (Jun 2026).** *Plain read: about 8,000 more people than 15 months ago; the December bulge and March drop are the annual US enrolment season, not instability.* **Attrition:** quarterly voluntary attrition was **28.6% in Q1 FY27, down sharply from 38.1% in Q4 FY26** but slightly worse than Q1 FY26. On the older annualised measure it ran 27.5% (FY25), 26.3% (Q2 FY26), 22.8% (Q3 FY26). *Plain read: high by any normal standard, ordinary for Indian voice-and-*

claims BPM, and the Q4 spike was seasonal staff leaving after enrolment season rather than a retention failure. **Capacity utilisation: not disclosed.** Sagility does not publish seat counts or utilisation rates. The only capacity statement management makes is that scaling delivery "is the least of our concerns" — an assertion, not a number.

★ 3. Earning-trigger thesis

The trigger is straightforward and, unusually, is already visible in the accounts rather than sitting in a slide deck. **US health insurers are in a genuine profit squeeze** — patients are using more medical care than expected, government reimbursement rates are thin, and rule changes keep adding compliance work. A squeezed insurer does not build more back-office in Connecticut; it hands the work to someone who can do it in Bangalore for a third of the price. That is Sagility's entire demand engine, and it has produced **organic constant-currency growth of 14.9% (FY25), 15.0% (FY26) and 14.9% (Q1 FY27)** against an industry growing 7–8% — share gain, three years running. Layered on top, the buyout debt is almost repaid, so profit is compounding much faster than sales. **The honest counterweight:** Sagility takes no price increases at all — every rupee of growth is more work, never dearer work — and it is deliberately automating away 2% of its own revenue a year with AI, a figure management expects to rise.

Trigger	What management said	Evidence so far	Horizon	Strength
Payer cost pressure pushes work outward	Clients face "margin protection, cost discipline, medical utilisation" pressure and are therefore "more receptive to partners like Sagility." Said in all eight calls.	Delivered. 15% organic constant-currency growth for two full years and again in Q1 FY27, versus a 7–8% industry. Management explicitly says it sees "no general slowdown" in client spend as of July 2026.	Ongoing, 2–5 yrs	Strong Structural, externally driven, and already in the numbers.
Mining existing accounts (white space)	Growth comes mainly from selling more services into clients Sagility already serves.	Delivered. \$30–35 m of new annual contract value every quarter for six quarters (~\$130 m in FY26), spread across 15–20 clients each time; Q1 FY27 wins came from 18 existing clients and only one new logo. Top-5 clients grew 11.7% in FY26.	Ongoing	Strong The most reliable and best-evidenced part of the story.
Debt repayment lifts profit	Buyout debt to be "fully repaid during FY27."	Delivered and nearly complete. Net debt ₹111 cr at 0.06x operating profit, cash ₹967 cr. Adjusted profit grew 39.5% in FY26 on 29.1% revenue growth, largely because interest fell.	Ends FY27	Strong but finite Real, but it is a one-time lever. Once debt hits zero this tailwind is spent.
Mid- and small-market expansion	Break dependence on a handful of giant insurers by winning regional plans; buy client access (BroadPath 2025, CareSeed 2026).	Delivered on client count: 17 new logos in FY26, 7 of the first 12 from mid/small market; 30 clients via BroadPath and 26 via CareSeed. But each CareSeed client bills under \$1 m, and cross-sell into BroadPath is 15 months old with only "six or seven active conversations."	3–5 yrs	Moderate Logos are arriving; revenue from them is slow.
Outcome-based "managed service" deals	Move from being paid per person or per transaction to owning whole workflows, charging per-member-per-month, committing to 20–40% client cost savings and sharing the gains.	Almost entirely pipeline. A ~\$570–575 m book of submitted proposals exists, but the CEO conceded these have been in conversation "three to six months," that timing is "an issue," and that "it isn't that every client we are talking to is talking of a managed service contract."	2–4 yrs	Unproven The most valuable claim in the story and the one with the least evidence.

AI as a growth lever	AI wins share because clients "have adopted AI but only 10% report measurable improvement" and need a domain partner to make it work.	Genuinely two-sided and disclosed as such. 32 AI use cases live across 10 clients. But management's own estimate of revenue it will automate away rose from 1–1.5% to ~2% in FY27 , and they expect it to "gradually inch up."	Ongoing	Net negative today A cost to revenue now; a share-gain hope later.
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4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q2 FY25 (Nov 24)	First call after listing: full-year FY25 growth "in line with our growth performance in H1," margins "steady at these levels."	FY25 landed at 14.9% constant-currency growth with a 26.4% adjusted margin — in line on growth, better on margin.	Delivered
Q3 FY25 (Feb 25)	Margin will hold at 24–25% on an annual basis, despite a one-quarter spike to 30%. Explicitly warned against reading single quarters.	FY25 came in at 26.4% — above the guided band. They talked their own margin <i>down</i> and then beat it.	Delivered
Q4 FY25 (May 25)	FY26: low-to-mid-teens organic constant-currency growth, over 20% including BroadPath; margin 24–25% less 120–150 bps of BroadPath dilution.	FY26 delivered 15.0% organic and 23.6% total constant-currency growth, at a 25.3% margin — above the diluted band they set.	Delivered
Q1 FY26 (Jul 25)	Raised FY26 margin guidance from "23–24%" to "24% plus"; held 20%+ growth.	Both cleared.	Delivered
Q2 FY26 (Oct 25)	Raised again: FY26 growth to "21% plus" constant currency, margin "close to 25%."	Both cleared.	Delivered
Q3 FY26 (Jan 26)	Raised a third time: FY26 growth to 22.5% constant currency (13.8% organic), margin 25%.	FY26 finished at 23.6% constant currency, 15.0% organic, 25.3% margin . Beat the third raise too.	Delivered
Across all calls	AI will cannibalise "1% to 1.5%" of revenue a year — disclosed voluntarily from the IPO onward.	Revised the estimate upward to ~2% for FY27, unprompted, and said it will keep rising. Bad news volunteered rather than buried.	Honest
Q4 FY25 → Q1 FY27	Cross-sell Sagility services into BroadPath's 30 acquired clients.	First win Q1 FY26, one extra work order Q2, "limited" in Q3, and by Q1 FY27 still only "six or seven opportunities and active conversations." Meanwhile BroadPath is now "fully integrated," so its revenue is no longer split out.	Slipping
Q1 FY27 (Jul 26)	FY27: low-double-digit organic constant-currency growth, 24–25% margin including the 120 bps minimum-wage hit. Debt gone during FY27. Narrower guidance promised at the Q2 call.	Q1 delivered 14.9% organic constant currency and a 24.0% margin, both consistent with the guide. Too early to judge the year.	Too-early

Narrative drift. There is drift, and it is worth naming even though the numbers have so far kept up with it. At listing, the pitch was modest and defensible: *non-discretionary work, 25-year client relationships, low-to-mid-teens growth, 24–25% margins*. By the March 2026 Investor Day the pitch had become something considerably bigger — *an AI-led transformation partner that takes end-to-end accountability for client outcomes, prices per-member-per-month, and shares in the savings it creates*. That is a different and much harder business to be, and as of July 2026 it is almost entirely pipeline: no managed-

service deal of that shape has yet been reported as won and ramped. Note also that management is running two arguments about AI simultaneously — that it will win them share, and that it will eat 2% of their revenue a year and rising. To their credit they say both out loud in the same breath rather than only the flattering half. The second flag is **finance-function churn**: three different people have presented the numbers in six quarters (Sarvabhousman Srinivasan through Q2 FY26, Abhishek Kayan as deputy CFO for Q3 FY26, Srinivas Mattapalli from Q4 FY26), and the Q3 FY26 call disclosed a reduction in share-appreciation-rights charges "on account of certain resignations." Third, disclosure has thinned in one specific place: in Q1 FY27 management could not answer how growth split between newly-won and older clients ("I don't have those numbers handy"), and declined to split BroadPath revenue on the grounds that it is now integrated. Neither is damning; both are the kind of thing that should be watched rather than waved through.

5 Bottom line — two verdicts

Durable earning trigger? → YES

This is a rare case where the trigger is not a forecast — it has already been paid out three years running and can be checked. American health insurers are under sustained profit pressure they cannot fix internally, and the cheapest lever available to them is handing more administrative and clinical work to an offshore specialist. Sagility has converted that into **14.9%, 15.0% and 14.9% organic constant-currency growth** in FY25, FY26 and Q1 FY27 against an industry growing 7–8%; **\$30–35 m of new contract value signed every quarter for six consecutive quarters**; client concentration falling every year (top ten 90.5% → 84.6%, clients over \$20 m up from 4 to 9); and a 24–25% margin held intact through an acquisition, a new Indian labour code and a Karnataka minimum-wage shock. On top of the operating engine, the leveraged-buyout debt is all but gone — net debt ₹111 cr against ₹967 cr of cash — which is why profit grew 39.5% on 29.1% revenue growth in FY26. Three things stop this being an unqualified yes rather than a yes. **Pricing is negative**: management states plainly that it takes no price increases and that price movement "is in the opposite direction," so every rupee of growth must be earned by doing more work. **The company is deliberately shrinking its own revenue with AI** — about 2% in FY27, and management expects that to keep climbing. And **two of the profit tailwinds expire**: interest cost disappears once debt hits zero this year, and the rupee's fall is luck, not management. Growth is visibly moderating from mid-teens to "low double digits." But a business gaining share in a structurally growing market, at 25% margins, with no debt and no capital intensity, has a durable engine. It just runs slower next year than last.

Management consistent? → YES

The guidance record is the best part of this company. In FY26 management set a growth target and then **raised it three separate times — 20%+, then 21%+, then 22.5% — and beat the third raise, finishing at 23.6%**. They did the same with margin: guided 23–24%, lifted to 24%+, then ~25%, and delivered 25.3%. In FY25 they beat their own 24–25% margin band with 26.4%, having spent the previous quarter actively talking analysts *down* from a 30% quarter. The debt promise is on track, the dividend they hinted at has been paid, and the mid-market diversification they promised has produced 17 new logos and two acquisitions. Most tellingly, they volunteer the bad news: the AI revenue cannibalisation estimate was raised from 1–1.5% to 2% without being asked, the minimum-wage hit was quantified to the basis point and the one-off gratuity charge shown separately below EBITDA, and one-time items are bridged from reported to adjusted every single quarter. That is above-average candour. Against it sit three marks. **Three CFOs in six quarters** is genuine churn in the seat that matters most for credibility. **BroadPath cross-sell has under-delivered** — fifteen months after the acquisition it is still "six or seven active conversations," and the disclosure that would let you check it has now been withdrawn on integration grounds. And the story has grown ambitious faster than the evidence, with the outcome-based managed-service model — the whole reason to pay a premium for this business — still unwon and unreported. None of that overturns a two-year record of promising less than they delivered, every single quarter. It is a Yes, with the CFO seat and the managed-service pipeline as the two things to check next.

Sources: Nine distinct Sagility Ltd investor-call transcripts filed with BSE/NSE and sourced from Screener.in — Q2 FY25 (27 Nov 2024), Q3 FY25 (5 Feb 2025), Q4 & FY25 (15 May 2025), Q1 FY26 (30 Jul 2025), Q2 FY26 (29 Oct 2025), Q3 FY26 (28 Jan 2026), Investor & Analyst Day (25 Mar 2026), Q4 & FY26 (12 May 2026) and Q1 FY27 (21 Jul 2026); Screener.in consolidated and standalone financial history (profit & loss, balance sheet, cash flow, ratios, quarterly results, shareholding).

A note on the numbers: all operating figures quoted here are *consolidated*, matching management's basis on the calls. Screener.in's default page for SAGILITY shows the *standalone* holding company (FY26 revenue ₹1,971 cr, profit ₹351 cr, P/E 56x) — those are the India entity's accounts only and materially understate the group, whose FY26 consolidated revenue was ₹7,193 cr, profit ₹925 cr and P/E about 20x. Management additionally reports an "adjusted" EBITDA and PAT that exclude acquisition earn-outs, share-appreciation rights, other income, foreign-exchange gains, intangible amortisation and one-off items; where an adjusted figure is used it is labelled as such. The ~\$570–575 m proposal pipeline is quoted as management stated it on the Q4 FY26 call; the transcript records the unit ambiguously, though every other deal figure on that call is in US dollars.